

billion), and the server market stood at 2 lakh (0.2 million) units valued at 9,100 crore rupees (US\$1.21 billion).

The government of India, seeing a big opportunity here, started working on a production linked incentive (PLI) scheme to encourage manufacture of these products in the country. While rumours around the government launching this scheme started doing rounds of various newspapers in January 2021 itself, the official policy explanation was released by the government at the end of March 2021. The government, at any point, did not shy away from admitting that the IT hardware manufacturing capability and capacity in the country has progressively declined and many units have either ceased operation or were operating at low capacities. It also admitted that the laptop and tablet demand in India was largely met through imports valued at US\$4.21 billion and US\$0.41 billion, respectively, in 2019-20. However, the government is clear about boosting domestic manufacture of IT hardware and attracting large investments in the value chain.

One of the statements released by the government reads, "The IT hardware manufacturing sector faces the lack of a level playing field vis-à-vis competing nations. As per industry estimates, the electronics manufacturing sector suffers from a disability of around 8.5 percent to 11 percent on account of lack of adequate infrastructure, domestic supply chain, and logistics; high cost of finance; inadequate availability of quality power; limited design capabilities and focus on R&D by the industry; and inadequacies in skill development. There is a need for a mechanism to compensate for the manufacturing disabilities vis-à-vis other major manufacturing economies."

The PLI scheme for IT hardware comes right after the other PLI schemes around smartphones, telecom equipment, batteries, and more have been announced. It looks like the best field of business to be in, at the moment, is electronics which includes IT hardware. The newly announced PLI scheme for IT hardware promises incentives on an incremental basis, and an outlay of 7,350 crore rupees (nearly one billion US dollars) divided

Eligibility Threshold Criteria

Table 1

Category	Proposed incentive rate	Incremental investment after 31-3-2021	Net incremental sales of manufactured goods over base year
IT hardware companies 1. Laptops (Invoice value of ₹30,000 and above) 2. Tablets (Invoice value of ₹15,000 and above) 3. All-in-one PCs 4. Servers	Year 1: 4% Year 2: 3% Year 3: 2% Year 4: 2%/1%	₹5000 million over 4 years Cumulative minimum: Year 1: ₹500 million Year 2: ₹1,500 million Year 3: ₹3,000 million Year 4: ₹5,000 million	Year 1: ₹10 billion Year 2: ₹25 billion Year 3: ₹50 billion Year 4: ₹100 Billion
Domestic companies 1. Laptops 2. Tablets 3. All-in-one PCs 4. Servers		₹200 million over 4 years Cumulative minimum: Year 1: ₹40 million Year 2: ₹80 million Year 3: ₹140 million Year 4: ₹200 million	Year 1: ₹500 million Year 2: ₹1,000 million Year 3: ₹2,000 million Year 4: ₹3,000 million

**For eligibility, net incremental sales of manufactured goods (covered under the target segment) irrespective of invoice value shall be considered.*

over four years has been allocated for the same.

"PLI for IT hardware products will be a game-changer for the electronics manufacturing industry. The scheme will help in generating more value addition in the country and exports too. We hope to see a strong electronic components chain also developing alongside with the help of these schemes," noted Manish Sharma, Chair, FICCI Electronics & White Goods Manufacturing Committee. Sharma is also president and CEO of Panasonic India.

"The government is trying to build a robust ecosystem for the sunrise sectors. This is an attempt to build up India's manufacturing capabilities. With Covid-19, the world got very alert about China. A lot of companies that were overdependent on China were badly affected. There existed Chinese vendors who stopped selling components to several companies and told them to buy finished products. India has great potential to be a competitor of China. This is where the game of volumes can help us and PLI for IT hardware will enable us to do the same. This is one of the best schemes to have surfaced during the entire history of India," feels Nitin Kunkolienker, president of manufacturers' association for IT, MAIT.

The current market and challenges

The market of laptops, servers, tablets, and many other products falling

under the IT hardware category is led by brands originating outside India. The top five brands Dell, HP, Lenovo, Acer, and Asus accounted for over 85 percent share of the total PC computers sold in India during 2020-21 (IDC). Similarly, the top five players Dell, Lenovo, Super Micro, HP, and Cisco had more than 60 percent share in the server market during fourth quarter of year 2020. On average, these five companies have been commanding over 60 percent presence in the market since the last five quarters.

It is to be noted here that none of these companies makes laptops or servers in India. The government of India has already said that the demand for laptops and tablets in the country is largely met through imports. As per estimates by Statista, revenue in the laptops segment is projected to reach US\$5,502.58 million in 2021. These numbers define a big business opportunity. As a matter of fact, in terms of PC shipments, the third quarter of 2020 was the biggest quarter during the last seven years.

"Anticipating a longer work from home possibility, enterprises are getting ready for a larger mobile workforce and keep reducing their dependency on desktops. Also, SMBs started showing more momentum and will be critical in sustaining the ongoing growth in the commercial segment. Unfortunately, shortages of some key components continue to be a challenge. Vendors that will be able to manage the supplies of these